# FAMILY BANK LIMITED

## UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH JUNE 2019

### STATEMENT OF FINANCIAL POSITION

| | | GROUP | | | BANK | | | |
|---|---|---|---|---|---|---|---|---|
| | | 30-Jun-18 Un-Audited Shs.'000 | 31-Dec-18 Audited Shs.'000 | 30-Jun-19 Un-Audited Shs.'000 | 30-Jun-18 Un-Audited Shs.'000 | 31-Dec-18 Audited Shs.'000 | 31-Mar-19 Un-Audited Shs.'000 | 30-Jun-19 Un-Audited Shs.'000 |
| A | **ASSETS** | | | | | | | |
| 1 | Cash (both Local & Foreign) | 3,041,707 | 3,494,361 | 3,055,639 | 3,041,707 | 3,494,361 | 3,116,353 | 3,055,639 |
| 2 | Balances with Central Bank of Kenya | 3,573,851 | 2,787,339 | 4,641,821 | 3,573,851 | 2,787,339 | 4,307,906 | 4,641,821 |
| 3 | Kenya Government & other Securities held for dealing purposes | - | - | - | - | - | - | - |
| 4 | Financial Assets at Fair Value through Profit & Loss | - | - | - | - | - | - | - |
| 5 | Investment Securities: | | | | | | | |
| | (i) Held to Maturity: | | | | | | | |
| | (a) Kenya Government Securities | 7,298,643 | 6,946,277 | 6,801,828 | 7,298,643 | 6,946,277 | 7,214,919 | 6,801,828 |
| | (b) Other Securities | 842,245 | 392,772 | 392,557 | 842,245 | 392,772 | 405,676 | 392,557 |
| | (ii) Available for Sale: | - | | - | - | | | - |
| | (a) Kenya Government Securities | - | - | 2,300,000 | - | - | - | 2,300,000 |
| | (b) Other Securities | - | - | - | - | - | - | - |
| 6 | Deposits and balances due from local banking institutions | 2,385,521 | 861,162 | 1,041,141 | 2,385,521 | 861,162 | 1,503,801 | 1,041,141 |
| 7 | Deposits and balances due from banking institutions abroad | 60,681 | 361,576 | 142,516 | 60,681 | 361,576 | 171,023 | 142,516 |
| 8 | Tax recoverable | 786,634 | 587,095 | 575,432 | 755,209 | 551,846 | 552,023 | 552,127 |
| 9 | Loans and advances to customers (net) | 43,880,021 | 44,113,093 | 46,716,395 | 43,880,021 | 44,113,093 | 45,625,289 | 46,716,395 |
| 10 | Balances due from Banking Institutions in the Group | - | - | - | - | - | - | - |
| 11 | Investments in associates | - | - | - | - | - | - | - |
| 12 | Investments in subsidiary companies | - | - | - | 1,000 | 1,000 | 1,000 | 1,000 |
| 13 | Investments in joint ventures | - | - | - | - | - | - | - |
| 14 | Investment properties | 18,200 | 18,200 | 18,200 | 18,200 | 18,200 | 18,200 | 18,200 |
| 15 | Property and equipment | 3,278,772 | 2,841,773 | 2,603,063 | 3,273,191 | 2,837,332 | 2,708,228 | 2,599,763 |
| 16 | Prepaid lease rentals | 146,310 | 143,885 | 141,573 | 146,310 | 143,885 | 142,710 | 141,573 |
| 17 | Intangible assets | 421,313 | 597,692 | 542,945 | 408,893 | 575,323 | 330,419 | 521,490 |
| 18 | Deferred tax asset | 286,373 | 527,303 | 382,735 | 285,645 | 527,303 | 465,543 | 382,734 |
| 19 | Retirement benefit asset | - | - | - | - | - | - | - |
| 20 | Other assets | 3,107,571 | 3,338,537 | 3,307,899 | 3,062,374 | 3,298,369 | 3,586,642 | 3,288,007 |
| | **TOTAL ASSETS** | **69,127,842** | **67,011,065** | **72,663,744** | **69,033,491** | **66,909,838** | **70,149,732** | **72,596,791** |
| B | **LIABILITIES** | | | | | | | |
| 21 | Balances due to Central Bank of Kenya | - | - | - | - | - | - | - |
| 22 | Customer deposits | 47,774,871 | 48,483,189 | 54,002,936 | 47,841,061 | 48,558,691 | 52,104,096 | 54,169,815 |
| 23 | Deposits and balances due to local banking institutions | 100,035 | 247,051 | 181,341 | 100,035 | 247,051 | 179,150 | 181,341 |
| 24 | Deposits and balances due to foreign banking institutions | - | - | - | - | - | - | - |
| 25 | Other money market deposits | - | - | - | - | - | - | - |
| 26 | Borrowed funds | 8,070,707 | 4,903,207 | 4,518,722 | 8,070,707 | 4,903,207 | 4,542,635 | 4,518,722 |
| 27 | Balances due to Banking Institutions Group Companies | - | - | - | - | - | - | - |
| 28 | Tax payable | - | - | - | - | - | - | - |
| 29 | Dividends payable | 2,808 | 2,716 | 1,378 | 2,808 | 2,716 | 1,747 | 1,378 |
| 30 | Deferred tax liability | - | 535 | 535 | - | - | - | - |
| 31 | Retirement benefit liability | - | - | - | - | - | - | - |
| 32 | Other liabilities | 1,803,978 | 1,793,577 | 2,013,644 | 1,799,174 | 1,771,725 | 1,751,549 | 1,961,761 |
| | **TOTAL LIABILITIES** | **57,752,399** | **55,430,275** | **60,718,556** | **57,813,785** | **55,483,390** | **58,579,177** | **60,833,015** |
| C | **SHAREHOLDERS' FUNDS** | | | | | | | |
| 33 | Paid up /Assigned capital | 1,287,108 | 1,287,108 | 1,287,108 | 1,287,108 | 1,287,108 | 1,287,108 | 1,287,108 |
| 34 | Share premium | 5,874,662 | 5,874,662 | 5,874,662 | 5,874,662 | 5,874,662 | 5,874,662 | 5,874,662 |
| 35 | Revaluation reserves | 192,624 | 192,624 | 192,624 | 192,624 | 192,624 | 192,624 | 192,624 |
| 36 | Retained Earnings | 3,652,890 | 4,226,396 | 4,590,794 | 3,497,154 | 4,072,054 | 4,216,161 | 4,409,382 |
| 37 | Statutory loan reserves | 368,160 | - | - | 368,160 | - | - | - |
| 38 | Other Reserves | - | - | - | - | - | - | - |
| 39 | Proposed dividends | - | - | - | - | - | - | - |
| 40 | Capital grants | - | - | - | - | - | - | - |
| | **TOTAL SHAREHOLDERS' FUNDS** | **11,375,443** | **11,580,790** | **11,945,188** | **11,219,706** | **11,426,448** | **11,570,555** | **11,763,776** |
| 42 | Minority Interest | | | | | | | |
| | **TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS** | **69,127,842** | **67,011,065** | **72,663,744** | **69,033,491** | **66,909,838** | **70,149,732** | **72,596,791** |

### STATEMENT OF COMPREHENSIVE INCOME

| | | GROUP | | | BANK | | | |
|---|---|---|---|---|---|---|---|---|
| | | 30-Jun-18 Un-Audited Shs.'000 | 31-Dec-18 Audited Shs.'000 | 30-Jun-19 Un-Audited Shs.'000 | 30-Jun-18 Un-Audited Shs.'000 | 31-Dec-18 Audited Shs.'000 | 31-Mar-19 Un-Audited Shs.'000 | 30-Jun-19 Un-Audited Shs.'000 |
| | **INTEREST INCOME** | | | | | | | |
| 1 | Loans and advances | 2,777,999 | 5,668,863 | 2,818,430 | 2,777,999 | 5,668,863 | 1,401,667 | 2,818,430 |
| 2 | Government securities | 371,365 | 772,110 | 417,799 | 371,365 | 772,110 | 183,633 | 417,799 |
| 3 | Deposits and placements with banking institutions | 30,954 | 84,847 | 33,549 | 30,954 | 84,847 | 13,733 | 33,549 |
| 4 | Other interest income | 52,408 | 98,376 | 25,951 | 52,408 | 98,376 | 12,903 | 25,951 |
| | **Total interest income** | **3,232,726** | **6,624,196** | **3,295,729** | **3,232,726** | **6,624,196** | **1,611,936** | **3,295,729** |
| | **INTEREST EXPENSE** | | | | | | | |
| 5 | Customer deposits | 768,192 | 1,508,298 | 746,696 | 771,683 | 1,514,102 | 348,406 | 750,695 |
| 6 | Deposits and placement from banking institutions | 21,859 | 26,058 | 8,395 | 21,859 | 26,058 | 3,218 | 8,395 |
| 7 | Other interest expenses | 408,787 | 749,559 | 248,857 | 408,787 | 749,559 | 124,179 | 248,857 |
| | **Total interest expenses** | **1,198,838** | **2,283,915** | **1,003,948** | **1,202,329** | **2,289,719** | **475,803** | **1,007,947** |
| | **NET INTEREST INCOME** | **2,033,888** | **4,340,281** | **2,291,781** | **2,030,397** | **4,334,477** | **1,136,133** | **2,287,782** |
| | **OTHER OPERATING INCOME** | | | | | | | |
| 8 | Fees and commissions on loans and advances | 70,736 | 125,800 | 65,350 | 70,736 | 125,800 | 31,653 | 65,350 |
| 9 | Other fees and commissions | 900,752 | 1,838,951 | 905,781 | 900,752 | 1,838,951 | 457,802 | 905,781 |
| 10 | Foreign exchange trading income | 182,557 | 337,456 | 177,683 | 182,557 | 337,456 | 87,919 | 177,683 |
| 11 | Dividend Income | - | | - | | | | - |
| 12 | Other income | 99,768 | 196,766 | 161,223 | 56,764 | 132,485 | 41,674 | 106,087 |
| | **Total non-interest income** | **1,253,813** | **2,498,973** | **1,310,037** | **1,210,809** | **2,434,692** | **619,048** | **1,254,901** |
| | **TOTAL OPERATING INCOME** | **3,287,702** | **6,839,254** | **3,601,818** | **3,241,206** | **6,769,169** | **1,755,181** | **3,542,683** |
| | **OPERATING EXPENSES** | | | | | | | |
| 13 | Loan loss provision | 394,510 | 771,880 | 341,369 | 394,510 | 771,880 | 200,235 | 341,369 |
| 14 | Staff costs | 881,238 | 1,860,030 | 930,238 | 855,793 | 1,814,095 | 469,990 | 914,712 |
| 15 | Directors' emoluments | 56,733 | 74,035 | 45,452 | 52,664 | 71,215 | 16,898 | 43,062 |
| 16 | Rental charges | 326,927 | 621,385 | 309,471 | 326,927 | 621,385 | 157,976 | 309,471 |
| 17 | Depreciation charge on property and equipment | 362,453 | 638,814 | 275,607 | 360,463 | 634,705 | 138,666 | 273,552 |
| 18 | Amortisation charges | 64,658 | 129,747 | 61,151 | 64,658 | 129,747 | 31,063 | 61,151 |
| 19 | Other operating expenses | 1,055,462 | 2,308,431 | 1,117,623 | 1,056,689 | 2,306,262 | 534,491 | 1,117,474 |
| | **Total operating expenses** | **3,141,981** | **6,404,322** | **3,080,911** | **3,111,704** | **6,349,289** | **1,549,319** | **3,060,791** |
| | **Profit Before Tax and Exceptional Items** | **145,719** | **434,932** | **520,907** | **129,502** | **419,880** | **205,861** | **481,892** |
| 20 | Exceptional Items | - | - | - | - | - | - | - |
| | Profit After Exceptional Items | 145,719 | 434,932 | 520,907 | 129,502 | 419,880 | 205,861 | 481,892 |
| 21 | Current tax | (5,359) | (190,716) | (156,510) | - | (185,034) | (61,759) | (144,567) |
| 22 | Deferred tax | (38,851) | - | - | (38,851) | - | - | - |
| | **Profit After Tax and Exceptional Items** | **101,509** | **244,216** | **364,397** | **90,651** | **234,846** | **144,102** | **337,325** |
| | **Other Comprehensive Income:** | | | | | | | |
| 23 | Gains/(Losses) from Translating the Financial Statements of Foreign Operations | - | - | - | - | - | - | - |
| 24 | Fair Value changes in Available-fo-sale Financial Assets | - | - | - | - | - | - | - |
| 25 | Revaluatation Surplus on Property, Plant and Equipment | - | - | - | - | - | - | - |
| 26 | Share of other Comprehensive Income of Associates | - | - | - | - | - | - | - |
| 27 | Income Tax Relating to Components of other Comprehensive Income | - | - | - | - | - | - | - |
| | Other Comprehensive Income for the Year Net of Tax | - | - | - | - | - | - | - |
| | **TOTAL COMPREHENSIVE INCOME FOR THE YEAR** | **101,509** | **244,216** | **364,397** | **90,651** | **234,846** | **144,102** | **337,325** |
| | **EARNINGS PER SHARE- BASIC & DILUTED** | **0.08** | **0.20** | **0.3** | **0.07** | **0.20** | **0.11** | **0.3** |
| | **DIVIDEND PER SHARE -DECLARED** | - | - | - | - | - | - | - |

### OTHER DISCLOSURES

| | | GROUP | | | BANK | | | |
|---|---|---|---|---|---|---|---|---|
| | | 30-Jun-18 Un-Audited Shs.'000 | 31-Dec-18 Audited Shs.'000 | 30-Jun-19 Un-Audited Shs.'000 | 30-Jun-18 Un-Audited Shs.'000 | 31-Dec-18 Audited Shs.'000 | 31-Mar-19 Un-Audited Shs.'000 | 30-Jun-19 Un-Audited Shs.'000 |
| 1.0 | **NON-PERFORMING LOANS AND ADVANCES** | | | | | | | |
| 1.1 | (a) Gross Non-performing loans and advances | 8,252,914 | 8,137,866 | 8,174,273 | 8,252,914 | 8,137,866 | 8,160,397 | 8,174,273 |
| 1.2 | (b) Less Interest in Suspense | 947,479 | 1,002,544 | 1,072,881 | 947,479 | 1,002,544 | 1,028,345 | 1,072,881 |
| 1.3 | **(c) Total Non-Performing Loans and Advances (a-b)** | **7,305,435** | **7,135,322** | **7,101,392** | **7,305,435** | **7,135,322** | **7,132,052** | **7,101,392** |
| 1.4 | (d) Less Loan Loss Provision | 1,489,668 | 1,907,666 | 2,323,578 | 1,489,668 | 1,907,666 | 2,092,969 | 2,323,578 |
| 1.5 | **(e) Net Non-Performing Loans and Advances(c-d)** | **5,815,767** | **5,227,656** | **4,777,814** | **5,815,767** | **5,227,656** | **5,039,083** | **4,777,814** |
| 1.6 | (f) Discounted Value of Securities | 5,514,219 | 4,960,914 | 4,542,430 | 5,514,219 | 4,960,914 | 4,747,228 | 4,542,430 |
| 1.7 | **(g) Net NPLs Exposure (e-f)** | **301,548** | **266,742** | **235,384** | **301,548** | **266,742** | **291,855** | **235,384** |
| 2.0 | **INSIDER LOANS AND ADVANCES** | | | | | | | |
| 2.1 | (a) Directors, Shareholders and Associates | 2,245,302 | 2,427,378 | 1,890,431 | 2,245,302 | 2,427,378 | 2,401,140 | 1,890,431 |
| 2.2 | (b) Employees | 1,163,865 | 1,163,182 | 1,174,085 | 1,163,865 | 1,163,182 | 1,181,279 | 1,174,085 |
| 2.3 | **(c) Total Insider Loans and Advances and other facilities** | **3,409,167** | **3,590,560** | **3,064,516** | **3,409,167** | **3,590,560** | **3,582,419** | **3,064,516** |
| 3.0 | **OFF-BALANCE SHEET ITEMS** | | | | | | | |
| 3.1 | (a) Letters of credit,guarantees, acceptances | 3,920,366 | 3,570,381 | 4,126,878 | 3,920,366 | 3,570,381 | 3,685,618 | 4,126,878 |
| 3.2 | (b) Forwards Swaps & Options | 2,917,481 | 3,147,051 | 4,010,876 | 2,917,481 | 3,147,051 | 3,849,816 | 4,010,876 |
| 3.3 | (c) Other contingent liabilities | 237,018 | 182,071 | 165,812 | 237,018 | 182,071 | 231,018 | 165,812 |
| 3.4 | **(d) Total Contingent Liabilities** | **7,074,865** | **6,899,503** | **8,303,566** | **7,074,865** | **6,899,503** | **7,766,452** | **8,303,566** |
| 4.0 | **CAPITAL STRENGTH** | | | | | | | |
| 4.1 | (a) Core capital | | | | 10,613,597 | 10,706,525 | 10,840,336 | 11,019,755 |
| 4.2 | (b) Minimum Statutory Capital | | | | 1,000,000 | 1,000,000 | 1,000,000 | 1,000,000 |
| 4.3 | (c) Excess (a-b) | | | | 9,613,597 | 9,706,525 | 9,840,336 | 10,019,755 |
| 4.4 | (d) Supplementary Capital | | | | 2,386,960 | 2,018,800 | 2,018,800 | 2,018,800 |
| 4.5 | **(e) Total Capital (a+d)** | | | | **13,000,557** | **12,725,325** | **12,859,136** | **13,038,555** |
| 4.6 | (f) Total risk weighted assets | | | | 64,853,288 | 65,186,401 | 64,838,672 | 66,026,631 |
| 4.7 | **(g) Core Capital/Total deposits Liabilities** | | | | **22.2%** | **22.1%** | **20.8%** | **20.3%** |
| 4.8 | (h) Minimum statutory Ratio | | | | 8.0% | 8.0% | 8.0% | 8.0% |
| 4.9 | (i) Excess | | | | 14.2% | 14.1% | 12.8% | 12.3% |
| 4.10 | **(j) Core Capital / Total risk weighted assets** | | | | **16.4%** | **16.4%** | **16.7%** | **16.7%** |
| 4.11 | (k) Minimum Statutory Ratio | | | | 10.5% | 10.5% | 10.5% | 10.5% |
| 4.12 | (l) Excess (j-k) | | | | 5.9% | 5.9% | 6.2% | 6.2% |
| 4.13 | **(m) Total Capital/Total risk weighted assets** | | | | **20.0%** | **19.5%** | **19.8%** | **19.7%** |
| 4.14 | (n) Minimum statutory Ratio | | | | 14.5% | 14.5% | 14.5% | 14.5% |
| 4.15 | (o) Excess (m-n) | | | | 5.5% | 5.0% | 5.3% | 5.2% |
| 4.16 | (p) Core Capital/Total deposits Liabilities* | | | | 23.3% | 23.2% | 21.8% | 20.6% |
| 4.17 | (q) Core Capital / total risk weighted assets* | | | | 17.2% | 17.3% | 17.5% | 16.9% |
| 4.18 | (r) Total Capital/total risk weighted assets* | | | | 20.9% | 20.4% | 20.7% | 20.0% |
| 5.0 | **LIQUIDITY** | | | | | | | |
| 5.1 | (a) Liquidity Ratio | | | | 34.6% | 30.7% | 31.2% | 32.9% |
| 5.2 | (b) Minimum Statutory Ratio | | | | 20.0% | 20.0% | 20.0% | 20.0% |
| 5.3 | (c) Excess (a-b) | | | | 14.6% | 10.7% | 11.2% | 12.9% |

### SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

| | Share Capital Sh'000 | Share Premium Sh'000 | Revenue and other reserves Sh'000 | Total Sh'000 |
|---|---|---|---|---|
| At 1 January 2019 | 1,287,108 | 5,874,662 | 4,419,020 | 11,580,790 |
| Profit for the year | | | 364,397 | 364,397 |
| Other comprehensive income | | | - | - |
| **Balance as at 30 June 2019** | **1,287,108** | **5,874,662** | **4,783,417** | **11,945,188** |

### SUMMARY CONSOLIDATED STATEMENT OF CASHFLOWS

| | 30-Jun-19 Un-Audited Shs.'000 | 31-Dec-18 Audited Shs.'000 | 30-Jun-18 Un-Audited Shs.'000 |
|---|---|---|---|
| Net cash generated from/(used in) operating activities | 104,379 | 2,363,664 | 223,097 |
| Net cash used in investing activities | 37,189 | 48,091 | 23,446 |
| Net cash generated from financing activities | 479,282 | 3,621,548 | 587,800 |
| Net decrease in cash and cash equivalents | (412,093) | (1,305,975) | (388,149) |
| Cash and cash equivalent at 1 January | 4,470,048 | 5,776,023 | 5,776,023 |
| **Cash and cash equivalent at period end** | **4,057,955** | **4,470,048** | **5,387,874** |

The above statement of financial position, statement of comprehensive income and disclosures are extracts from the Bank's financial statements.

**Signed:**

**Lazarus Muema**
**Director**

**Dr. Wilfred D.Kiboro**
**Chairman**

Family Bank
*With you, for life*

Family Bank is regulated by the Central Bank of Kenya